

I don't think he remembered. This time, and without tipping my hand, I asked him to define "insider trading" as it applied to information overheard in a public place. To my great surprise, he said there was no actual definition of insider trading at all.

"What we always say is, just as you know pornography when you see it, you'll know insider trading when you see it," he said.

Since I still wasn't sure I'd seen it, I returned to my new friend Orton, the risk arbitrageur, to discuss the recent events. In the aftermath of the Boesky revelations, Orton was speechless, but only because he had the flu. Between coughs, he told me the whole investment business was transformed the day after Mr. Boesky got indicted. "The game is over," Orton said. "It's a pre-deal situation. It's like the 1970s again. People aren't talking to each other."

Orton said that his own firm, Z. B. Troutman, lost one-third of the profits they'd made all year during the week the takeover stocks fell in the wake of the Boesky news. He wasn't complaining, though. "Lots of firms gave back their entire year," he said.

"Looking back on it, it was a Street gone mad," he said. "I really believe that. I grew up in this business, and even I didn't realize how closely the merger and acquisition departments worked with some of the arbitrageurs. There was no honor among thieves. The business was filled with people who'd lost sight of all reason.

"On Boesky day, the pendulum swung from all the way to the right to all the way to the left. Suddenly, we're back to the old methods. There will be a lot of layoffs, a lot of lawsuits, a lot less deals, and a lot less money. Lately, it's been so easy to tell other people what you've heard about some stock. Now I wouldn't even tell good friends what I know."

"What about Bally?" I whispered. "What do you hear about Bally? Are people getting in trouble for that?"

"You mean the Donald Trump takeover?" he laughed. "That old news? Last year sometime, Trump made a play for Bally. I'm sure you saw it in the papers. Recently, there've been some lawsuits and speculation that Trump's actually getting out of Bally. It's not one of our deals."

So there it was! I'd bought Bally options on inside information